



Mock Exam-IBL - This is the mock exam for the winter 24/25 semester

Introduction to Business Law (Technische Universität München)



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Introduction to Business Law

Mock Exam

Please refer to all relevant legal provisions!

1. Avoiding a Contract (8 P total)

- a. What is the consequence if you avoid a contract under § 119 BGB or § 123 BGB? (2 P)
- b. If you avoid a contract under § 119 BGB, the other party is entitled to damages under § 122 BGB. However, if you avoid a contract under § 123 BGB, there is no such entitlement. Why is that? Explain! (3 P)
- c. Assume that you bought a bike that has a material defect (e.g., the brakes are not working). Can you avoid the contract under § 119 II BGB? Explain! (3 P)

2. The Law of Agency (7 P total)

- a. What are the three requirements for valid representation by an agent? (3 P)
- b. Can a 12-year-old be an agent? Explain! (2 P)
- c. Who represents a public liability company (Aktiengesellschaft, AG)? (2 P)

3. Standard Business Terms (7 P total)

- a. What are Standard Business Terms? (2 P)
- b. What are the advantages and risks of Standard Business Terms? (3 P)
- c. Give a short example of Standard Business Terms in practice! (2 P)

4. Company Law (10 P total)

- a. What is the difference between the one-tier board structure and the two-tier board structure? Explain and give an example for each structure. (3 P)
- b. What are the legal requirements for the application of the Business Judgment Rule? Describe a situation in which the Business Judgment Rule applies! (4 P)
- c. Together with your two friends A and B, you (C) want to establish a German limited liability company (GmbH). Your friend D owes you money. Instead of making your contribution for your shares in the company in cash, you want to contribute the claim against D. Is this possible in general? Why/why not? What other requirements must be met for such type of contribution? (3 P)

5. Please answer the following case questions in a **fully formulated** memorandum! Please quote relevant statutes. (28 P total)

M is a very well-paid commercial lawyer. At the age of 50, he decides to retire because ‘life is too short’. He decides to open a small bar/bistro in Southern Munich. He runs the bistro in his own name. The bistro is open four days a week from 5pm until 11pm. M employs a part-time chef who provides for two changing meals every night. M also employs a part-time cleaner on a EUR 538 basis (so-called ‘minijob’). W (M’s wife) also helps in the restaurant two or three days a week. In winter, the bistro is closed because M and W prefer to spend this time of the year in Tuscany (Italy). Overall, the small bistro generates about EUR 45,000 turnover per year. M is fine with this – he earned more than enough money while he practiced as a commercial lawyer.

On Monday, 29th of July, M rings up the wholesale wine trader T, who is based in Hamburg. M orders four boxes (of six bottles each) of his best-selling Tuscan red wine for the restaurant. The price per bottle is EUR 12. Two days later he orders one box (of six bottles) of the same winemaker’s ‘flagship wine’ for EUR 30 per bottle, again by telephone. This second batch is meant for private consumption.

Both shipments arrive on 2nd of August (Friday). M stores the five boxes in his cellar. On 7th of August, he opens the first box and realizes that all the labels of all the bottles are upside down (so they are all at an angle of 180 degrees). He gives T another call and explains the situation. He wants new bottles with the correct labels. The writing on the label is hardly legible, and it feels odd to put them on display in his bar.

T says that he is terribly sorry, but due to a major mistake, the winemaker had labeled all the bottles of this vintage upside down. Thus, T cannot send M new bottles with the correct labels. Besides, it would be impossible for him to come down to Munich and fix the labels. M would probably need to keep the bottles. T explains that the wine itself is fine, so M is still able to sell it in his bar (which is correct).

- a. M asks you if he can give the bottles back because he ordered them via telephone. Would that be possible? (7 P)
- b. What are M’s rights as a buyer regarding the wrongly labeled bottles for the restaurant? (14 P)
- c. Assume that – in contrast to the original scenario – M is operating the bistro through a private limited company (GmbH), with him as the sole shareholder. Does that affect your conclusion under b.? If so, how? (7 P)

60 points in total.

Exam time: 120 minutes.

Good luck!